Atlanta Electricals Ltd

Concall Tracker - Q2 FY27 update | Power transformers | NSE: ATLANTAELE · BSE: 544527 | Report date: 06 November 2026 | Latest call read: Q2 & H1 FY27 (02 Nov 2026)

This report picks up from our Q1-2027 read of Atlanta Electricals. It deep-reads the new earnings call and the full Q1 FY27 transcript, which wasn't out when the last report was written. It asks the same two questions: is there a durable reason profits should keep growing (an "earning trigger"), and is management doing what it said it would?

1. Snapshot

What the business does: Atlanta makes transformers, the big steel-and-copper units that step electricity up or down in voltage so power can move across the grid. Most orders come from state power utilities, plus renewable-energy developers and industry. It's based in Gujarat and listed in 2025.

Figure	Value	Plain-English read
Market capitalisation	₹11,283 crore	What the company is worth on the market at scrape time, down from about ₹12,239 crore at our last report. The share (₹1,462) is a third below its 12-month high.
Q2 FY27 revenue (consolidated)	₹390 crore	Sales for Jul-Sep 2026, up 23% on a year ago but down from ₹466 crore in Q1. About ₹180 crore of finished transformers couldn't be delivered because of heavy rain.
Q2 EBITDA margin	15.3%	Operating profit per ₹100 of sales, down from 17.3% a year ago. Old fixed-price orders and costlier copper, steel and oil ate into it.
Q2 profit after tax	₹32.1 crore	Up 28% on a year ago, helped by lower interest costs. Profit still grew, just slower.
H1 FY27 revenue	₹856 crore	First-half sales, up 35.5%. Below the 40% a year the company has promised, but H2 is normally its stronger half.
Order book	₹3,197 crore	Work won but not yet delivered, up 54.5% on a year ago but only slightly up on June. About 1.5 years of sales in hand.
Valuation (P/E)	~45 times	The share costs about 45 years of current profit. Still expensive, though cheaper than at the last report.

2. Concall coverage

Quarter	Call date	How it was read
Q1 FY26 → Q4 FY26 (4 calls)	Oct 2025 - May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior boundary)	22 Jul 2026	The last report used the results release only. The full transcript was checked this time for what was promised.
Q2 & H1 FY27 (Jul-Sep 2026)	02 Nov 2026	Newly deep-read in full ★

Six calls now cover about a year since listing, so the record is still young.

★ Latest concall highlights - Q2 & H1 FY27 (call held 02 Nov 2026)

- **Rain hit deliveries, not demand.** Heavy rain in Gujarat shut the plants twice and stopped customers accepting finished units. About ₹180 crore of ready transformers sat in the warehouse at quarter-end. Management says 70% of them shipped in October and the rest goes in Q3. Read: a timing problem, and much of it has already reversed.
- **Fixed-price orders squeezed margins.** Gross margin fell to 26.6% from 30.9% because about 15% of Q2 revenue came from old orders with no price-escalation clause. Management says the rest of these finish in Q3, and customers have agreed to reprice them. FY27-FY28 EBITDA margin guidance is 16-18%. Read: most of the squeeze should fade, but the guidance range now starts lower than the 17-18% said in July.
- **Order intake slowed on purpose.** New orders were ₹421 crore against ₹972 crore in Q1. Management calls this a choice: the book already covers about 1.5 years of 220 kV-and-below work, and it wants to save room for 400 kV orders once its first unit passes testing. The enquiry pipeline is ₹19,464 crore. Read: believable, but the next two quarters need to show the 400 kV orders actually arriving.
- **High-voltage push slipped.** The first 400 kV (315 MVA) transformer only went into manufacturing on 26 Oct after component delays. Testing is targeted for Q3 and revenue for Q4. On 765 kV, the foreign technology partner fell through because of international sanctions. Atlanta is now designing in-house, with production from Q4 and testing between Q4 FY27 and Q1 FY28. Read: the biggest long-term prize got pushed back.
- **First US order.** A specialty transformer for a new US plant. There are active US enquiries for about 120 transformers, and the goal is about 15% of revenue from exports within two years. Read: early, but a real new market.

Tone: confident on demand, a little defensive on the quarter. The 40% yearly growth target for FY27-FY28 was restated as a "minimum".

Business mix & capacity (quick-glance panel)
Domestic vs export: still almost all domestic. The first US order came this quarter, and the target is about 15% exports within two years. Read: an Indian grid business with an export option just opening.
Capacity utilisation: Anand Unit 1 about 60%, Unit 2 about 40%, Bangalore about 90%, the big Vadod plant about 30%, and the Jambusar (Atlanta Trafo) plant 7-8%. Management calls 80% "optimum". Read: lots of room to grow without new plants. Vadod is well short of the ~65% guided for FY27 earlier, partly because of rain. A dedicated inverter-duty transformer plant (₹65 crore, 5,000 MVA) is due before end-Q3, and a ₹193 crore tank-and-radiator plant by Oct 2027.

★ Since our last report

Builds on the Q1-2027 report (boundary call 22 Jul 2026). Prior verdicts: **Trigger YES · Management consistent YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: new plants filling up	Q1 sales +48%, record order book	Q2 sales +23%, H1 +35.5%. Order book flat on June	Slipping (weather-led)
400 kV orders turning into revenue	About ₹275 crore of 400 kV orders booked	Still about 8.6% of the book. First unit only started on 26 Oct. Revenue now Q4	Slipping
765 kV with a technology partner	"Very advanced talks". Approval by end-Q2 "certainly" (July call)	Partner dropped over sanctions. In-house design, testing Q4 FY27-Q1 FY28	Broken / reset
Vadod utilisation ~65% in FY27	Main growth engine	About 30% now. Expected to rise in H2	Slipping
Margins 17-18%	Q1 16.5%, seasonal dip	Q2 15.3%. Guidance now 16-18%	Slipping
Inverter-duty plant by December	On track	Machinery going in, commissioning before end-Q3	On track
Management consistency	YES, short clean record	Several July promises missed or reset in one quarter	Downgraded

Verdict change this quarter: the trigger stays YES. Demand, the order book and spare capacity are all intact, and the rain hit was a delay, not lost business. Consistency is downgraded to MAYBE. The 765 kV approval timeline given "certainly" in July is gone, the 400 kV start slipped, and the margin range was widened downward, all within one quarter.

3. Earning-trigger thesis ★

The base story still holds. Atlanta roughly quadrupled its factory space just as India started a multi-year grid build-out, and it has about 1.5 years of orders to fill those plants. Most of its capacity is still empty, so growth doesn't need new money. The second engine, moving up to 400 kV and 765 kV units with better margins, is where this quarter disappointed. Both are now a quarter or more later than said in July. The near-term test is simple: H2 needs about ₹1,700 crore of sales to hit the 40% target, roughly 42% more than H2 last year.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
New capacity filling up	40% CAGR FY27-FY28 as a "minimum"	H1 +35.5%. Order book +54.5% on a year ago. Vadod only ~30% used	Now → FY28	Strong but H2-dependent	↓ slower quarter (rain)
400 kV transformers	Test in Q3, revenue Q4. Then bid for 400 kV orders	About ₹275 crore booked. First unit in production since 26 Oct	Q4 FY27 →	Moderate	↓ about a quarter late
765 kV transformers and reactors	In-house design, test Q4 FY27-Q1 FY28	Partner lost. No prototype yet	FY28+	Unproven	↓ reset
Exports (US)	About 15% of revenue in two years	First US order. About 120 units in enquiries	FY28	Unproven, promising	↑ new
Grid / renewables / storage demand	Multi-year shortage, Green Energy Corridor adds more	₹19,464 crore enquiry pipeline. No margin pressure on new orders yet	Multi-year	Strong	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26 (all calls)	New plants lift sales, ~40% growth, 18-20% margins	FY26 sales +49%, margin ~19-20% by Q4, debt cleared	Delivered
Q1-Q3 FY26	Power Grid 400 kV approval	Slipped twice, landed Apr 2026	Partly
Q1 FY27 (Jul 2026)	765 kV partner close, approval by end-Q2 "certainly"	Partner dropped (sanctions). Testing now Q4 FY27-Q1 FY28	Missed
Q1 FY27 (Jul 2026)	Margins "somewhere around 17 to 18%"	Q2 15.3%, H1 16%. Guidance now 16-18%	Partly
Q1 FY27 (Jul 2026)	About ₹2,400 crore of the book executable in FY27	H1 ₹856 crore. H2 needs a big step-up	Too early
Q1 FY27 (Jul 2026)	Inverter-duty plant by December	Machinery going in, due before end-Q3	On track
Q2 FY27 (Nov 2026)	Remaining firm-price orders in the book	CFO said 10-12%, COO said 3-4% on the same call	Unclear

Narrative drift: the strategy hasn't changed: fill the new plants, climb to higher voltages, start exporting. What changed is how reliable the dates are. In July management gave confident timelines for 765 kV and margins, and within one quarter both moved. The rain and the sanctions are real outside causes, and management said so openly. But this is a company that went public promising steady execution, and this was its first quarter of visible misses. The mixed answers on firm-price exposure didn't help.

5. Bottom line - two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged (weaker)

The base trigger is intact: big new capacity, mostly unused, a 1.5-year order book and a multi-year grid build-out. Q2's slowdown came mostly from rain-delayed deliveries that are already shipping. What weakened is the higher-voltage leg. 400 kV revenue moves to Q4 and 765 kV to FY28 at best, so the margin upgrade the story relies on comes later. H2 delivery against the 40% target is the next proof point.

Management consistent? → MAYBE

vs last quarter: downgraded (from YES)

The downgrade comes from this call. In one quarter the 765 kV partner and approval timeline fell apart, the first 400 kV unit started late, Vadod is running well below the level guided for the year, and the margin range was widened downward. Some of this was outside management's hands, and it was disclosed openly. The 40% growth promise was restated, not cut. If H2 delivers it, this can move back up. If it doesn't, the record starts to look like a pattern.

Sources: Atlanta Electricals Q2 & H1 FY27 earnings-call transcript (02 Nov 2026, filed 06 Nov 2026) and Q1 FY27 transcript (22 Jul 2026), both via Screener.in. Prior Q1-2027 and Q4-2026 concall-tracker reports. Screener.in snapshot, quarterly and annual tables (standalone) at scrape time. Call figures are consolidated as stated by management. Educational read-through, not investment advice. Do your own due diligence.